

REALITY CHECK: THE EQUITY ROLLERCOASTER

• Odds of hitting various annualised return buckets over different holding periods in case of a flexi-cap fund. In the 7th year, the chances of earning negative returns dip to zero

RETURNS	1-Year	3-Year	5-Year	7-Year	10-Year	12-Year	15-Year	20-Year
Less than 0%	23.6%	8%	0.2%	0%	0%	0%	0%	0%
0% to 10%	18.2%	21.7%	19.7%	12%	5.5%	5.1%	2.6%	0%
10% to 20%	14.9%	35.6%	50.3%	54.5%	59.2%	56.8%	61.8%	81.8%
20% to 30%	10.9%	13.7%	19.1%	20.3%	28.4%	38.1%	35.6%	18.2%
More than 30%	32.4%	21%	10.7%	13.2%	6.9%	0%	0%	0%
RETURNS	1-Year	3-Year	5-Year	7-Year	10-Year	12-Year	15-Year	20-Year
Negative	24%	8%	0%	0%	0%	0%	0%	0%
Positive	76%	92%	100%	100%	100%	100%	100%	100%

NOTE REGULAR PLANS OF FLEXI-CAP FUNDS ARE CONSIDERED **SOURCE** VALUE RESEARCH

PROCESS OVER PREDICTION

The uncomfortable truth is that successful long-term investing isn't about making brilliant predictions. It's about consistently making sensible decisions and avoiding major mistakes. This is why asset allocation—the boring choice of how much equity versus debt—explains more of your outcomes than which specific funds you select.

Think about what this means practically. Two investors start with the same amount. The first spends weeks researching the perfect fund, comparing five-year returns, reading analyst reports, and seeking the optimal choice. The second picks a simple, low-cost fund and focuses instead on getting the asset allocation right and automating the investment process. Ten years later, the second



investor almost certainly does better, not because the fund performed better but because the focus was on process rather than prediction.

The shift from “which fund” to “which category for my goal” represents genuine progress in Indian investor behaviour. It means people are prioritising purpose over performance. It means they're asking better questions.

But questions alone don't build wealth. Action does, and the right action is often the least exciting one: automate your contributions, set calendar reminders for annual rebalancing, and then ignore the daily noise. No headlines. No drama. Just the quiet compounding that happens when you refuse to interrupt it unnecessarily.

THE REAL ACHIEVEMENT

The mutual fund industry has its problems. Products are oversold, costs are sometimes too high, and distribution practices need improvement. Yet for all its flaws, the industry has achieved something remarkable: it has made disciplined, diver-